



# BUSINESS ANALYSIS REPORT

client  
Popular Auto Spare and A/C Parts Co. W.L.L



Consultant

**UNIGLOBAL**  
CONSULTANCY

ACCOUNTING & FINANCIAL MANAGEMENT  
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Prepared By  
SaNDS Lab Middle East W.L.L

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## PREFACE

In today's dynamic business environment, organizations require a robust and integrated financial management system to ensure accuracy, transparency, compliance, and operational efficiency. Effective financial control is no longer limited to recording transactions; it extends to real-time monitoring of assets, liabilities, inventory, cash flow, budgeting, taxation, and branch-level operations across the enterprise.

This document has been prepared as a comprehensive guide to the Accounting and Financial Management framework within the ERP system. It outlines the financial processes, operational workflows, controls, and implementation standards required to establish a consistent and scalable financial ecosystem for organizations operating across multiple branches and business units.

The contents of this document cover the complete financial lifecycle, beginning with the Chart of Accounts and General Ledger structure, followed by Accounts Payable, Accounts Receivable, Inventory-Integrated Accounting, Banking and Treasury Management, Budgeting, Multi-Currency Management, Tax Compliance, and Financial Reporting. The document also provides a structured guideline for new branch implementation, ensuring standardized ERP deployment and financial governance across all locations.

The primary objectives of this document are to:

- Establish a standardized accounting structure across the organization.
- Ensure accurate financial recording and reporting in compliance with accounting standards and statutory requirements.
- Integrate inventory, procurement, sales, and financial transactions into a single source of truth.
- Strengthen internal controls, approval workflows, and audit readiness.
- Enable effective cash flow management, budgeting, and financial planning.
- Support multi-branch, multi-currency, and tax-compliant business operations.
- Provide implementation teams and stakeholders with a clear roadmap for ERP configuration and deployment.

This document serves as a reference manual for management, finance teams, auditors, ERP administrators, implementation consultants, and operational stakeholders involved in the planning, execution, and maintenance of the organization's financial management processes. By adhering to the principles and procedures outlined herein, organizations can achieve greater financial visibility, improved decision-making, operational efficiency, and sustainable business growth.

The procedures and guidelines described in this document should be reviewed periodically and updated as business requirements, regulatory frameworks, and organizational structures evolve.

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| CLIENT | CONSULTANT | DEVELOPER |
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# 1. ACCOUNTING & FINANCIAL MANAGEMENT

The Accounting & Financial Management System is the core financial intelligence and control platform of a multinational organization. It is designed to manage high-volume, multi-currency, multi-country trading operations involving procurement, inventory movement, warehousing, sales distribution, logistics costs, and inter-company transactions.

Unlike traditional accounting systems, this module is transaction-driven, inventory-integrated, and profitability-focused, enabling real-time financial visibility at product, customer, warehouse, branch, and country levels.

It ensures that every operational activity automatically translates into accurate financial impact, providing end-to-end financial governance across the entire supply chain.

## 1.1. System Design Philosophy

The system is built on five core principles:

### 1.1.1 Transaction-Driven Accounting

Every operational action generates automatic accounting entries:

Purchase -> Inventory + Payable + Duty

Sales > Revenue + Receivable + COGS (COGS represents the actual cost of the parts that are sold, not the selling price.)

Stock Transfer -> Inter-warehouse financial adjustment

Logistics Cost -> Cost allocation to inventory or expense

### 1.1.2 Multi-Dimensional Financial Structure

Financial data is analyzed across:

- Country
- Branch
- Warehouse
- Department
- Product Category
- Customer
- Vendor
- Project

### 1.1.3 Real-Time Profitability Engine

Profit is calculated at:

- Invoice level

- Product level
- Customer level
- Branch level
- Country level

### 1.1.4 Multi-Currency Global Accounting

All transactions support:

- Local currency accounting
- Reporting currency consolidation
- Real-time FX conversion
- Exchange gain/loss tracking
- 3.1.5 Inventory-Centric Financial Control
- Inventory is the core financial asset driving:
- Cost of Goods Sold (COGS)
- Landed cost calculation
- Stock valuation
- Profit margin accuracy

## 1.2. Chart of Accounts (COA)

The Chart of Accounts in this ERP system is not just a static financial list — it is a dynamic financial control framework designed for global spare parts trading operations.

It ensures that every financial transaction is correctly classified, automatically posted, and accurately reflected in real-time financial statements, enabling complete financial transparency, control, and decision-making capability.

### 1.2.1 Core Structure of Chart of Accounts

The COA is organized into five primary financial groups:

#### A. Assets

Represents all resources owned or controlled by the organization.

- Cash & Bank
- Accounts Receivable (Customer Outstanding)
- Inventory (Critical Trading Asset)
- Prepaid Expenses
- Advance Payments
- Inter-branch Receivables
- Import in Transit (Goods in Transit)



Inventory is treated as a financial asset and is valued based on purchase cost and landed cost, with continuous updates reflecting stock movements.

However, automatic financial postings directly from the purchase department are restricted to ensure accuracy and prevent discrepancies. Instead, the final inventory valuation for accounting purposes is validated and posted by the accounting team based on verified purchase documents, invoices, and cost components.

This ensures that the recorded inventory value reflects the true financial cost, including any adjustments related to freight, customs duty, and other landed costs, while maintaining strong internal financial control and audit integrity.

## B. Liabilities

Represents financial obligations and payables.

- Accounts Payable (Suppliers)
- Bank Loans & Overdrafts
- Accrued Expenses
- Import Liabilities (Duty, Freight Payable)
- Customer Advances
- Inter-company Payables
- Import liabilities are tracked separately to reflect true landed cost accuracy per shipment.

## C. Equity

Represents ownership and retained business value.

- Capital Investment
- Retained Earnings
- Shareholder Equity Adjustments
- Profit/Loss Carry Forward

## D. Revenue

Represents income generated from core trading activities.

- Spare Parts Sales
- Export Sales
- Service Revenue
- Discount Adjustments (negative revenue handling)

Revenue can be analysed by:

- Country
- Branch





- Customer
- Product category
- Sales channel

## E. Expenses

Represents all costs incurred to operate the business.

- Cost of Goods Sold (COGS) (Direct trading cost)
- Freight & Logistics Cost
- Customs Duty & Import Charges
- Warehouse Operations Cost
- Administrative Expenses
- Marketing & Sales Expenses
- Vehicle & Delivery Expenses
- Utility Expenses

### 1.2.2 Cost of Goods Sold (COGS) Structure

COGS is a critical financial component in trading businesses.

It includes:

- Purchase Cost of Spare Parts
- Freight Allocation
- Customs Duty Allocation
- Insurance Cost
- Clearing & Handling Charges
- Direct procurement-related expenses

COGS is automatically generated from inventory sales transactions to ensure real-time gross profit calculation per item.

### 1.2.3 COA Flexibility & Customization

The system allows controlled flexibility while maintaining financial discipline.

Authorized User Controls:

The system provides role-based COA management, where authorized financial users can:

Create new account heads

Modify account hierarchy (subject to approval workflow)

Map accounts to cost centres or departments

Define country-specific or branch-specific accounts



- Create product-wise or customer-wise revenue accounts
- Deactivate or merge account heads
- To ensure financial integrity:
  - All COA changes require approval workflow
  - Audit trail is maintained for every modification
  - System restricts deletion of posted accounts
  - Version history of COA structure is maintained
  - Changes are logged for external audit compliance

### 1.3. General Ledger (GL)

The General Ledger (GL) serves as the central financial repository of the ERP system, where all approved financial transactions are recorded and maintained. It acts as the primary source for financial reporting, audit compliance, management analysis, and statutory reporting.

The GL is designed to provide complete financial visibility across multiple companies, countries, branches, warehouses, departments, projects, and cost centers while maintaining strict financial controls and audit integrity.

#### 1.3.1 Core Functionality

- Real-time financial transaction processing
- Double-entry accounting system
- Manual journal entry management
- Recurring journal entries
- Adjustment and accrual entries
- Reversal and correction entries
- Multi-company and multi-branch accounting
- Multi-currency accounting support
- Cost center and department allocation
- Project-based financial tracking
- Complete audit trail and transaction history

#### 1.3.2 Financial Posting Control

To ensure financial accuracy and compliance, operational transactions generated by Procurement, Sales, Inventory, Payroll, Asset Management, and other ERP modules are first recorded as source transactions within their respective modules.

Financial postings to the General Ledger are performed only after validation and approval by authorized finance personnel.

This approach ensures:

- Verification of supplier invoices and supporting documents
- Validation of landed costs and import expenses
- Review of customs duties and freight allocations
- Proper tax treatment and compliance
- Accurate currency conversion and exchange rate application
- Prevention of duplicate or incorrect financial postings
- Strong internal financial controls

### 1.3.3 Purchase Accounting Process

When goods are received and supplier invoices are verified, the Finance Department reviews and confirms the financial impact before posting to the General Ledger.

Typical accounting entries may include:

- Inventory Procurement Entry
- Debit: Inventory Account
- Credit: Accounts Payable
- Import Duty Allocation
- Debit: Inventory Account or Duty Expense Account
- Credit: Customs Duty Payable Account
- Freight Cost Allocation
- Debit: Inventory Account or Freight Clearing Account
- Credit: Freight Payable Account

The final posting structure may vary depending on company accounting policies and local statutory requirements.

### 1.3.4 Sales Accounting Process

Upon verification and approval of customer invoices, the system generates the corresponding financial entries.

- Revenue Recognition Entry
- Debit: Accounts Receivable
- Credit: Sales Revenue
- Inventory Cost Recognition Entry
- Debit: Cost of Goods Sold (COGS)
- Credit: Inventory

These entries ensure that both revenue and the corresponding cost of inventory sold are accurately reflected in the financial statements.

### 1.3.5 Journal Management

The system supports various journal types, including:

- General Journal
- Adjustment Journal
- Accrual Journal
- Depreciation Journal
- Payroll Journal
- Reclassification Journal
- Inter-Company Journal
- Foreign Currency Adjustment Journal

### 1.3.6 Audit & Compliance Controls

Every General Ledger transaction maintains:

- Unique transaction reference number
- Source document linkage
- User identification
- Date and time stamp
- Approval history
- Modification history
- Supporting document attachments

This ensures complete traceability and compliance with internal audit, external audit, and statutory reporting requirements.

### 1.3.7 Financial Reporting Integration

All approved General Ledger transactions automatically update:

- Trial Balance
- Profit & Loss Statement
- Balance Sheet
- Cash Flow Statement
- Cost Centre Reports
- Departmental Financial Reports
- Branch Financial Reports
- Consolidated Group Financial Reports

The General Ledger therefore functions as the primary financial engine of the ERP system, providing a single source of truth for all financial information across the organization.

## 1.4. Accounts Payable (AP) – Supplier Financial Control

The Accounts Payable (AP) module manages all financial obligations towards local and international suppliers, ensuring accurate recording of liabilities, controlled payment processing, supplier reconciliation, and effective cash flow management.

The module provides complete visibility into supplier balances, outstanding invoices, future payment commitments, import-related costs, and supplier performance, enabling the organization to maintain strong vendor relationships while exercising strict financial control.

### 1.4.1 Supplier Master Management

The system maintains a centralized supplier database containing comprehensive supplier information.

- Supplier Information
- Supplier Code
- Supplier Name
- Supplier Category
- Local or International Supplier
- Country of Origin
- Contact Information
- Tax Registration Details
- Bank Account Information
- Currency Preference
- Payment Terms
- Credit Period
- Credit Limit
- Supplier Agreements and Contracts

### 1.4.2 Invoice Verification & Liability Management

The Accounts Payable module records and manages all supplier invoices received by the organization.

Before financial recognition, invoices can be subjected to verification and approval procedures to ensure accuracy and compliance.

- Verification Controls
- Purchase Order Verification
- Goods Receipt Verification
- Invoice Matching
- Quantity Verification
- Price Verification
- Tax Verification

- Duplicate Invoice Detection

### 1.4.3 Approval Workflow

Supplier Invoice Entry -> Procurement Verification -> Department Approval -> Finance Review -> Liability Recognition -> Payment Processing

This process minimizes financial errors and unauthorized payments.

### 1.4.4 Accounts Payable Ledger Management

The system maintains detailed supplier ledgers showing:

- Opening Balance
- Supplier Invoices
- Credit Notes
- Debit Notes
- Advance Payments
- Settlements
- Outstanding Balances

Management can monitor supplier liabilities at any time through real-time ledger balances.

### 1.4.5 Payment Management

The system supports multiple payment methods and payment scheduling mechanisms.

Payment Methods

- Bank Transfer
- Cheque Payments
- Cash Payments
- Online Banking
- Letter of Credit (LC)
- Telegraphic Transfer (TT)
- Supplier Advance Payments
- Payment Controls
- Due Date Monitoring
- Approval Hierarchies
- Partial Payments
- Multiple Invoice Settlement
- Payment Hold Mechanism
- Early Payment Discount Tracking



### 1.4.6 Supplier Exposure & Liability Control

The system provides comprehensive monitoring of supplier liabilities and financial exposure.

#### Exposure Monitoring

- Outstanding Payables by Supplier
- Country-Wise Supplier Exposure
- Currency-Wise Liability Exposure
- Branch-Wise Supplier Obligations
- Future Payment Commitments
- Import Liability Tracking

#### Risk Management Controls

- Credit Limit Monitoring
- Overdue Payable Alerts
- Supplier Concentration Analysis
- Payment Commitment Forecasting
- Foreign Currency Exposure Analysis

### 1.4.7 Aging Analysis & Payment Forecasting

The system automatically categorizes supplier balances based on due dates.

#### Aging Buckets

- Current
- 0 – 30 Days
- 31 – 60 Days
- 61 – 90 Days
- 91 – 120 Days
- Above 120 Days

#### Management Benefits

- Identification of overdue obligations
- Supplier payment prioritization
- Cash flow planning
- Working capital optimization
- Improved supplier relationship management

### 1.4.8 Supplier Reconciliation

The system supports periodic supplier account reconciliation.



## Reconciliation Features

- Supplier Statement Reconciliation
- Invoice Matching
- Payment Matching
- Credit Note Adjustments
- Outstanding Difference Analysis

This ensures that supplier balances remain accurate and auditable.

## 1.4.9 Accounts Payable Dashboard & Reporting

The AP Dashboard provides real-time visibility into supplier obligations and payment commitments.

### Key Performance Indicators (KPIs)

- Total Accounts Payable
- Outstanding Supplier Balances
- Due Payments This Week
- Due Payments This Month
- Overdue Invoices
- Supplier Advances

### Reports

- Supplier Ledger Report
- Accounts Payable Aging Report
- Outstanding Liability Report
- Payment Forecast Report

The Accounts Payable module serves as a strategic financial control system, ensuring that all supplier-related transactions are accurately recorded, monitored, approved, and settled while maintaining complete visibility into procurement costs, liabilities, and future payment obligations.

## 1.5. Accounts Receivable (AR) – Customer Credit & Collections Management

The Accounts Receivable (AR) module is designed to manage the complete customer billing, receivables, collections, and credit control lifecycle. It provides comprehensive visibility into outstanding customer balances, payment behavior, credit exposure, and collection performance across all branches, countries, customer categories, and business units.

For a multinational spare parts trading organization, effective receivables management is critical to maintaining healthy cash flow, minimizing bad debt exposure, and ensuring sustainable business growth. The AR module enables organizations to balance sales expansion with controlled credit risk management.

### 1.5.1 Customer Master & Credit Profile Management

The system maintains a centralized customer database with complete commercial and financial information.

#### Customer Information

- Customer Code
- Customer Name
- Customer Category
- Retail Customer
- Wholesale Customer
- Export Customer
- Corporate Customer
- Country & Region
- Tax Registration Details
- Contact Information
- Preferred Currency
- Payment Terms
- Credit Limit
- Credit Period

#### Customer Financial Profile

- Approved Credit Limit
- Available Credit Balance
- Outstanding Receivable Balance
- Average Payment Period
- Credit Rating
- Risk Classification
- Historical Purchase Volume

### 1.5.2 Customer Invoicing Management

The AR module records and manages all customer invoices generated through the Sales Management System.

All approved invoices are automatically reflected in the customer ledger and receivables records.

### 1.5.3 Customer Ledger Management

The system maintains a real-time customer ledger containing all financial transactions related to each customer.

## Ledger Transactions

- Sales Invoices
- Debit Notes
- Credit Notes
- Receipts
- Advance Payments
- Refunds
- Adjustments
- Write-Offs

## Ledger Visibility

Users can view:

- Opening Balance
- Current Outstanding Balance
- Available Credit
- Overdue Amounts
- Unallocated Receipts
- Collection History

### 1.5.4 3.5.4. Credit Limit & Credit Exposure Control

The AR module provides comprehensive controls to manage customer credit risk.

#### Credit Management Features

- Customer Credit Limit Definition
- Credit Period Assignment
- Credit Hold Management
- Credit Exposure Monitoring
- Available Credit Calculation
- Temporary Credit Limit Increase Approval

#### Credit Validation During Sales

Before sales order confirmation or invoice generation, the system automatically verifies:

- Outstanding Receivables
- Available Credit Limit
- Overdue Invoices
- Credit Period Violations
- Customer Risk Status



The system may issue warnings, require approvals, or block transactions based on company credit policies.

### 1.5.5 Overdue Invoice Management & Collection Workflow

The system provides structured collection management to improve receivable recovery.

#### Collection Workflow

Invoice Due Date Reached -> Automated Reminder -> Collection Follow-Up -> Escalation to Credit Controller -> Management Notification -> Collection Action Plan -> Legal Recovery (if applicable)

#### Collection Activities

- Automated Email Reminders
- SMS Notifications
- Collection Calls
- Customer Follow-Up Scheduling
- Promise-to-Pay Tracking
- Dispute Management
- Escalation Management

### 1.5.6 Aging Analysis & Receivable Monitoring

The system automatically categorizes outstanding balances according to aging periods.

#### Aging Buckets

- Current
- 0 – 30 Days
- 31 – 60 Days
- 61 – 90 Days
- 91 – 120 Days
- Above 120 Days

#### Aging Analytics

- Customer Aging Analysis
- Branch-wise Aging
- Country-wise Aging
- Salesperson Collection Performance
- Product Segment Exposure

This enables management to identify collection risks early and take corrective actions.



### 1.5.7 Blocked Customer Management

The system supports automated customer restrictions based on predefined risk parameters.

#### Automatic Blocking Rules

- Credit Limit Exceeded
- Overdue Amount Exceeds Threshold
- Repeated Payment Defaults
- Returned Cheque History
- Credit Department Restriction

#### Restriction Actions

- Sales Order Block
- Invoice Block
- Delivery Hold
- Management Approval Requirement

This protects the organization from excessive credit exposure and bad debt risks.

### 1.5.8 Partial Payments, Instalments & Payment Plans

The AR module supports flexible customer payment arrangements.

#### Features

- Partial Invoice Payments
- Instalment-Based Settlements
- Payment Plan Management
- Advance Receipt Adjustments
- Security Deposit Adjustments
- Customer Credit Balancing

These features are particularly useful for corporate customers, distributors, and large-volume trading accounts.

### 1.5.9 Customer Reconciliation Management

The system facilitates periodic reconciliation between company records and customer statements.

#### Reconciliation Functions

- Customer Statement Generation
- Outstanding Confirmation Reports
- Invoice Matching
- Receipt Matching



- Dispute Resolution Tracking
- Balance Confirmation Process

This improves financial accuracy and strengthens customer relationships.

### 1.5.10 Accounts Receivable Dashboard & Executive Reporting

The AR Dashboard provides management with real-time visibility into receivables and collection performance.

#### Key Performance Indicators (KPIs)

- Total Accounts Receivable
- Outstanding Customer Balances
- Current Receivables
- Overdue Receivables
- Customer Credit Utilization
- High-Risk Customer Exposure
- Blocked Customer Count

The Accounts Receivable module serves as a strategic customer financial management platform, enabling the organization to optimize collections, strengthen credit governance, improve cash flow, and maintain profitable customer relationships across global trading operations.



## 2. Inventory-Integrated Accounting

Inventory represents one of the most significant financial assets in the organization. The Inventory-Integrated Accounting module provides a structured framework for inventory valuation, stock accounting, cost control, and profitability analysis while ensuring strict financial governance.

The system maintains synchronization between inventory quantities and financial records, enabling management to accurately assess stock value, cost of sales, inventory turnover, and business profitability.

Unlike fully automated inventory accounting systems, financial valuation entries are subject to review and validation by the Finance Department to ensure accuracy, compliance, and proper cost allocation.

### 2.1. Inventory Accounting Logic

Every inventory movement has a financial impact that must be reflected in the organization's accounting records.

|                                |                                       |
|--------------------------------|---------------------------------------|
| Inventory Transaction-----     | Financial Impact                      |
| Purchase Receipt -----         | Inventory Quantity Increase           |
| Sales Issue -----              | Cost of Goods Sold (COGS) Recognition |
| Stock Transfer -----           | Inter-Warehouse Inventory Adjustment  |
| Stock Adjustment -----         | Inventory Gain/Loss Recognition       |
| Stock Return -----             | Inventory Value Adjustment            |
| Damaged or Obsolete Stock----- | Inventory Provision or Write-Off      |

The system records all inventory movements and maintains complete transaction history for audit and valuation purposes.

#### 2.1.1 Inventory Valuation Control

To maintain financial accuracy and internal controls, inventory values are not automatically posted based solely on purchase transactions.

The Purchase Department is responsible for:

- Purchase Orders
- Goods Receipt Notes (GRN)
- Supplier Information
- Quantity Verification
- Stock Receipt Confirmation

The Finance and Accounts Department is responsible for:



- Verification of Supplier Invoices
- Validation of Purchase Costs
- Verification of Freight and Logistics Charges
- Customs Duty Validation
- Currency Conversion Verification
- Landed Cost Determination
- Inventory Financial Valuation

Only after review and approval by authorized accounting personnel are inventory values updated for financial reporting purposes.

This process ensures that inventory assets are reflected at their true financial value and prevents inaccuracies arising from incomplete or pending procurement costs.

### 2.1.2 Landed Cost Management

The system provides comprehensive landed cost calculation and allocation capabilities to determine the true acquisition cost of inventory.

#### Landed Cost Components

- Purchase Cost
- Freight Charges
- Customs Duty
- Insurance Charges
- Port Handling Charges
- Clearing & Forwarding Charges
- Import Documentation Fees
- Other Direct Procurement Costs

The final landed cost allocation is reviewed and approved by authorized accounting personnel before updating inventory valuation records.

### 2.1.3 Inventory Profitability Analysis

The system utilizes approved inventory valuation data to calculate:

- Product-Level Profitability
- Brand-Wise Profitability
- Customer-Wise Profitability
- Outlet-Wise Margin Analysis
- Country-Wise Margin Analysis
- Gross Profit by Product Category

Accurate inventory valuation ensures reliable Cost of Goods Sold (COGS) calculations and meaningful

profitability reporting.

## 2.2. Banking, Cash & Treasury Management

The Banking, Cash & Treasury Management module provides centralized control over the organization's banking operations, cash flow, liquidity, financing facilities, and treasury activities across multiple countries, branches, currencies, and financial institutions.

The module enables management to monitor cash positions in real time, manage financial obligations, optimize working capital, forecast liquidity requirements, and control banking relationships while ensuring adequate funding for procurement, inventory, and operational activities.

### 2.2.1 Banking Management

The system maintains a centralized repository of all banking relationships and accounts.

- Bank Master Management
- Bank Registration
- Branch Information
- Account Details
- Currency Assignment
- SWIFT Information
- IBAN Details
- Authorized Signatories
- Banking Facility Information

### 2.2.2 Cash Management

The system provides real-time visibility into available funds across all business entities.

#### Cash Position Monitoring

- Daily Cash Balance
- Bank Balance Monitoring
- Cash Inflows
- Cash Outflows
- Available Working Capital
- Branch-wise Cash Position
- Group-wide Cash Position

#### Cash Controls

- Cash Receipt Management
- Cash Payment Management
- Petty Cash Management



- Cash Transfer Monitoring
- Cash Authorization Controls

### 2.2.3 Treasury Operations

The treasury function supports strategic financial planning and liquidity optimization.

#### Treasury Activities

- Fund Allocation Management
- Liquidity Planning
- Cash Pooling
- Intercompany Fund Transfers
- Working Capital Optimization
- Foreign Currency Management

#### Treasury Dashboard

- Management can monitor:
- Available Liquidity
- Funding Requirements
- Short-Term Cash Position
- Long-Term Cash Forecast
- Currency Exposure

### 2.2.4 Bank Reconciliation Management

The system automates reconciliation between ERP transactions and bank statements.

#### Reconciliation Features

- Bank Statement Import
- Automatic Transaction Matching
- Unreconciled Transaction Analysis
- Bank Charge Recognition
- Interest Posting
- Reconciliation Adjustment Entries

#### Benefits

- Reduced manual effort
- Improved financial accuracy
- Faster month-end closing
- Better audit compliance

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The system manages all borrowing facilities and financial obligations obtained from banks and financial institutions.

### Loan Types Supported

- Working Capital Loans
- Trade Finance Loans
- Term Loans
- Equipment Financing
- Vehicle Financing
- Import Financing
- Revolving Credit Facilities
- Overdraft Facilities

### Loan Information Management

- Loan Registration
- Loan Agreement Management
- Lender Information
- Interest Rate Structure
- Loan Tenure
- Repayment Schedule
- Security & Collateral Details

### Loan Monitoring

- Outstanding Principal Balance
- Interest Accrual Tracking
- EMI Monitoring
- Instalment Due Tracking
- Early Settlement Management
- Loan Renewal Tracking

## 2.2.6 Trade Finance Management

For trading operations, trade finance facilities are critical for import and international procurement activities.

- Trade Finance Facilities
- Letter of Credit (LC)
- Trust Receipt (TR)
- Shipping Guarantees
- Import Financing
- Supplier Financing



- Export Financing
- Documentary Collections

### LC Management

- LC Application Tracking
- LC Approval Workflow
- LC Utilization Monitoring
- LC Expiry Alerts
- LC Settlement Tracking
- Supplier Payment Integration

### Trade Finance Benefits

- Better supplier payment management
- Improved import procurement control
- Reduced financing risk
- Enhanced international trade visibility

## 2.2.7 Bank Guarantee Management

The system manages all financial guarantees issued by banks.

### Types of Guarantees

- Performance Guarantees
- Tender Guarantees
- Advance Payment Guarantees
- Financial Guarantees
- Customs Guarantees

### Monitoring Features

- Guarantee Validity Tracking
- Expiry Alerts
- Utilization Monitoring
- Bank-wise Exposure Analysis

## 2.2.8 Cheque Management & Post-Dated Cheque (PDC) Control

The system provides comprehensive cheque lifecycle management.

### Cheque Functions

- Issued Cheque Management
- Received Cheque Management

- Post-Dated Cheque Tracking
- Cheque Clearance Monitoring
- Dishonored Cheque Handling
- Cheque Cancellation Control

### Cheque Calendar

- Upcoming Cheque Maturities
- Expected Cash Inflows
- Future Payment Obligations
- Bank-wise Cheque Exposure
- Liquidity Planning Support

## 2.2.9 Multi-Currency Treasury Management

The system supports treasury operations across multiple currencies.

### Features

- Multi-Currency Bank Accounts
- Currency Conversion Tracking
- Foreign Exchange Gain/Loss Monitoring
- Exchange Rate Management
- Currency Revaluation
- Currency Exposure Analysis

## 2.2.10 Cash Flow Forecasting & Treasury Intelligence

The system provides advanced forecasting and financial planning tools.

### Cash Flow Forecasting

- Daily Forecast
- Weekly Forecast
- Monthly Forecast
- Quarterly Forecast
- Annual Forecast

### Forecast Components

- Customer Collections
- Supplier Payments
- Payroll Commitments
- Loan Repayments





- LC Settlements
- Tax Payments
- Capital Expenditure Plans

### 2.2.11 Working Capital Management

The system continuously monitors working capital performance.

#### Key Indicators

- Working Capital Position
- Cash Conversion Cycle
- Inventory Holding Value
- Receivable Collection Period
- Payable Payment Cycle
- Current Ratio
- Quick Ratio

### 2.2.12 Liquidity & Risk Analysis

Management can evaluate future financial obligations and liquidity requirements.

#### Treasury Analytics

- Liquidity Gap Analysis
- Funding Requirement Forecast
- Bank Exposure Analysis
- Debt-to-Equity Monitoring
- Loan Utilization Analysis
- Interest Cost Analysis

### 2.2.13 Banking & Treasury Dashboard

#### Key Performance Indicators (KPIs)

- Total Cash Available
- Bank Balances
- Outstanding Loans
- Loan Repayment Due
- LC Exposure
- Bank Guarantee Exposure
- Future Cash Inflows
- Future Cash Outflows
- Working Capital Position





- Currency Exposure

## 2.2.14 Business Benefits

- Complete visibility of banking and treasury operations.
- Effective management of loans and financing facilities.
- Improved cash flow forecasting and liquidity planning.
- Enhanced control over import financing and trade finance facilities.
- Better management of Letters of Credit and Bank Guarantees.
- Reduced financial risk and funding shortages.
- Stronger working capital management.
- Improved decision-making through real-time treasury intelligence.
- Enhanced audit compliance and financial governance.

## 2.3. Financial Budgeting & Budget Management

The Financial Budgeting & Budget Management module serves as the organization's strategic financial planning and control framework. It enables management to establish financial targets, allocate resources, monitor expenditures, control costs, and evaluate business performance against approved budgets.

The budgeting system provides comprehensive control over sales targets, procurement spending, inventory investments, operational expenses, logistics costs, capital expenditures, and branch-level financial performance.

The module ensures that all financial commitments and expenditures are aligned with approved business plans, supporting profitability, cash flow management, and long-term growth objectives.

### 2.3.1 Budget Planning & Preparation

The system facilitates the preparation of annual, quarterly, and monthly budgets across all organizational levels.

#### Budget Categories

- Corporate Budget
- Country Budget
- Branch Budget
- Department Budget
- Cost Center Budget
- Project Budget
- Sales Budget
- Procurement Budget
- Inventory Budget

Logistics Budget





- Marketing Budget
- HR & Payroll Budget
- Facility Management Budget
- Vehicle & Fleet Budget
- Capital Expenditure (CAPEX) Budget
- Operational Expenditure (OPEX) Budget

### 2.3.2 Sales & Revenue Budgeting

Management can establish revenue targets based on:

#### Product Categories

- Product Brands
- Customer Segments
- Sales Territories
- Countries
- Branches
- Sales Teams

#### Revenue Planning Features

- Annual Sales Targets
- Monthly Revenue Forecasts
- Product-wise Sales Projections
- Customer Growth Targets
- Market Expansion Planning

This enables management to align procurement, inventory, and operational activities with expected sales demand.

### 2.3.3 Procurement & Inventory Budgeting

The system supports planning and controlling procurement expenditures and inventory investments.

#### Budget Components

Inventory Purchase Budget

Import Procurement Budget

Local Procurement Budget

Freight Budget

Customs Duty Budget

Inventory Holding Cost Budget

### 2.3.4 Expense Budgeting

The system allows detailed planning and monitoring of operational expenditures.

#### Expense Categories

- Administrative Expenses
- Salary & Payroll Expenses
- Marketing Expenses
- Logistics & Transportation Costs
- Warehouse Operating Costs
- Utilities & Facility Costs
- Vehicle Operating Costs
- Professional Service Fees
- Maintenance Expenses

Each expense budget can be allocated by:

- Branch
- Department
- Cost Center
- Business Unit
- Project

### 2.3.5 Capital Expenditure (CAPEX) Budgeting

The system manages investments in long-term assets.

#### CAPEX Categories

- Warehouse Infrastructure
- Office Expansion
- Vehicles & Fleet
- IT Infrastructure
- Machinery & Equipment
- Furniture & Fixtures

#### Controls

- Capital Approval Workflow
- Budget Allocation Tracking
- Asset Acquisition Monitoring
- Investment Performance Evaluation



### 2.3.6 Budget Approval Workflow

The system supports multi-level budget approval processes.

#### Workflow

Budget Preparation -> Department Review -> Finance Verification -> Executive Review -> Management Approval -> Budget Release

#### Approval Controls

- Department Head Approval
- Finance Manager Approval
- CFO Approval
- Executive Management Approval

All approvals are logged with complete audit trails.

### 2.3.7 Budget Control & Enforcement

The system continuously monitors transactions against approved budgets.

#### Control Mechanisms

- Real-Time Budget Availability Checks
- Budget Reservation for Purchase Orders
- Commitment Tracking
- Spending Limit Controls
- Over-Budget Warnings
- Transaction Blocking Rules
- Approval Escalation for Budget Exceedance

This prevents unauthorized or excessive spending.

### 2.3.8 Budget vs Actual Analysis

The system compares actual performance against approved budgets.

#### Analysis Areas

- Revenue vs Budget
- Procurement vs Budget
- Expense vs Budget
- Payroll vs Budget
- CAPEX vs Budget
- Inventory Investment vs Budget

#### Variance Reporting



- Amount Variance
- Percentage Variance
- Favourable Variance
- Unfavourable Variance

Management can quickly identify areas requiring corrective action.

### 2.3.9 Budget Revision & Reallocation

Business conditions often change during the fiscal year.

The system supports:

- Budget Transfers Between Departments
- Additional Budget Requests
- Emergency Budget Allocations
- Budget Reductions
- Revised Forecasts

All changes are tracked through approval workflows and audit logs.

### 2.3.10 Budget Performance Dashboard

The executive dashboard provides real-time visibility into budget utilization and financial performance.

#### Key Performance Indicators (KPIs)

- Budget Utilization Percentage
- Revenue Achievement Percentage
- Expense Variance
- Procurement Budget Utilization
- Inventory Investment Status
- CAPEX Utilization
- Branch Budget Performance
- Department Budget Performance

### 2.3.11 Business Benefits

- Improved financial planning and resource allocation.
- Better control over operational and capital expenditures.
- Enhanced profitability through disciplined spending.
- Improved inventory investment management.
- Stronger cash flow planning and forecasting.
- Greater accountability across departments and branches.



- Early identification of budget overruns and financial risks.
- Improved decision-making through real-time financial insights.
- Enhanced financial governance and compliance.

The Financial Budgeting & Budget Management System acts as a strategic financial governance platform, enabling the organization to plan, control, monitor, and optimize financial resources while ensuring alignment with corporate objectives, profitability targets, and long-term growth strategies.

## 2.4. Multi-Currency & Foreign Exchange (FX) Management

The Multi-Currency & Foreign Exchange Management module is designed to support multinational trading operations involving multiple countries, suppliers, customers, banks, and currencies. The system enables organizations to conduct transactions in various currencies while maintaining accurate financial reporting in both local and consolidated reporting currencies.

This module is particularly critical for the businesses that regularly engage in international procurement, import transactions, export sales, and foreign currency financing.

### 2.4.1 Multi-Currency Transaction Management

The system supports:

- Customer invoices in foreign currencies
- Supplier invoices in foreign currencies
- Foreign currency payments and receipts
- Multi-currency bank accounts
- Inter-company foreign currency transactions
- Foreign currency loans and financing facilities

Each transaction is recorded with:

- Transaction Currency
- Base Currency
- Exchange Rate
- Converted Value
- Exchange Rate Date

### 2.4.2 Exchange Rate Management

The system maintains exchange rates for all supported currencies.

#### Features

- Daily Exchange Rate Maintenance
- Central Bank Rate Recording
- Bank-Specific Exchange Rates

- Historical Exchange Rate Tracking
- Manual Rate Override (Authorized Users Only)
- Currency Rate Approval Workflow

This ensures consistency and accuracy in all foreign currency transactions.

### 2.4.3 Currency Revaluation

The system automatically revalue foreign currency balances at specified reporting periods.

#### Revaluation Scope

- Foreign Currency Bank Accounts
- Accounts Receivable
- Accounts Payable
- Loans & Financing Facilities
- Intercompany Balances

The system calculates unrealized exchange gains and losses and generates the necessary accounting adjustments for financial reporting purposes.

### 2.4.4 Foreign Exchange Gain/Loss Management

#### The module tracks:

- Realized Foreign Exchange Gain/Loss
- Unrealized Foreign Exchange Gain/Loss
- Currency Conversion Variances
- Foreign Currency Settlement Differences

Management can monitor the financial impact of exchange rate fluctuations on profitability and cash flow.

### 2.4.5 Consolidated Financial Reporting

The system automatically converts financial data into designated reporting currencies.

- Reporting Capabilities
- Branch Consolidation
- Country Consolidation
- Group Consolidation
- Currency Translation Adjustments
- Consolidated Financial Statements

This enables management to evaluate global business performance using a standardized reporting currency.



## 2.5. Tax & Compliance Management

The Tax & Compliance Management module ensures that all business transactions comply with applicable tax regulations, customs requirements, and statutory reporting obligations across multiple countries and jurisdictions.

The system automates tax calculations, maintains compliance records, and supports accurate tax reporting to regulatory authorities.

### 2.5.1 VAT / GST Management

The system supports multiple indirect tax structures including:

- Value Added Tax (VAT)
- Goods and Services Tax (GST)
- Sales Tax
- Import VAT
- Export Tax Exemptions

### 2.5.2 Import Duty & Customs Accounting

For the organization, import-related taxes and duties represent a significant cost component.

#### Supported Functions

- Customs Duty Recording
- Import VAT Accounting
- Freight Cost Integration
- Port Handling Charges
- Clearing Charges Allocation
- Landed Cost Integration

These costs can be allocated to inventory valuation based on company policies.

### 2.5.3 Withholding Tax Management

The system manages withholding tax obligations on supplier payments and service transactions.

#### Features

- Withholding Tax Calculation
- Tax Deduction Tracking
- Vendor Tax Certificates
- Tax Payment Monitoring
- Withholding Tax Reports

## 2.5.4 Country-Wise Tax Configuration

Organizations operating across multiple countries can maintain separate tax structures for each jurisdiction.

### Configuration Options

- Country-Specific Tax Rates
- Tax Categories
- Tax Exemptions
- Regulatory Requirements
- Reporting Formats

This allows compliance with local tax regulations while maintaining centralized financial control.

## 2.5.5 Tax Reporting & Audit Support

The system provides comprehensive tax reporting capabilities.

### Reports

- VAT/GST Return Reports
- Input Tax Reports
- Output Tax Reports
- Import Duty Reports
- Withholding Tax Reports
- Tax Audit Reports
- Country-Wise Tax Summary Reports

## 2.6. Financial Statements, Consolidation & Management Reporting

The Financial Reporting module transforms transactional and operational data into meaningful financial intelligence for management, auditors, shareholders, and regulatory authorities.

The system provides real-time financial reporting at branch, country, and group levels while supporting consolidated financial statements across multiple legal entities.

### 2.6.1 Core Financial Statements

The system automatically generates standard financial statements based on approved accounting transactions.

#### Profit & Loss Statement (Income Statement)

Provides visibility into:

- Revenue
- Cost of Goods Sold (COGS)



- Gross Profit
- Operating Expenses
- Net Profit

Reports can be generated by:

- Company
- Branch
- Country
- Product Category
- Business Unit

### Balance Sheet

Provides a snapshot of the organization's financial position.

### Components

- Assets
- Liabilities
- Equity
- Working Capital Position
- Financial Ratios

### Cash Flow Statement

Tracks cash movement across:

- Operating Activities
- Investing Activities
- Financing Activities

Management can evaluate liquidity and funding requirements.

### Trial Balance

Provides a detailed summary of all account balances for financial review and period-end closing activities.

## 2.6.2 Financial Consolidation

The system supports:

- Multi-Branch Consolidation
- Multi-Company Consolidation
- Multi-Country Consolidation
- Intercompany Elimination
- Consolidated Group Reporting



This enables management to obtain a unified view of global financial performance.

## 2.6.3 Trading Intelligence Reports

In addition to statutory financial reports, the system provides advanced business intelligence specifically designed for spare parts trading operations.

### Product Profitability Report

Provides analysis of:

- Product Revenue
- Product Cost
- Gross Margin
- Profit Contribution
- Product Category Performance

### Customer Margin Report

Measures profitability by customer.

### Analysis Includes

- Customer Revenue
- Cost of Sales
- Gross Profit
- Collection Performance
- Credit Exposure

### Country Performance Report

Provides comparative analysis across operating countries.

### Metrics

- Revenue
- Gross Profit
- Net Profit
- Inventory Value
- Receivable Exposure
- Market Performance

### Inventory Valuation Report

Provides detailed inventory financial analysis.

### Includes



- Inventory Value by Warehouse
- Product Valuation
- Slow-Moving Inventory
- Dead Stock Analysis
- Inventory Aging

### Warehouse Efficiency Report

Measures warehouse operational and financial performance.

#### Indicators

- Inventory Turnover
- Stock Accuracy
- Storage Cost Analysis
- Inventory Utilization
- Warehouse Profitability Contribution

### 2.6.4 Executive Financial Dashboard

The executive dashboard provides real-time visibility into organizational performance.

#### Key Performance Indicators (KPIs)

- Total Revenue
- Gross Profit
- Net Profit
- Inventory Value
- Cash Position
- Receivable Outstanding
- Payable Outstanding
- Working Capital
- Budget Utilization
- Return on Investment (ROI)



### 3. NEW BRANCH SETUP GUIDELINE & CHECKLIST (ERP IMPLEMENTATION SOP)

The New Branch Setup Guideline & Checklist provides a standardized procedure for establishing a new branch within the ERP system. The objective is to ensure that all operational, financial, inventory, HR, administrative, and compliance requirements are properly configured before the branch becomes operational.

#### 3.1. Branch Setup Workflow

Business Approval -> Branch Registration -> Organization Structure Setup -> Financial Configuration -> Inventory & Warehouse Setup -> HR & Payroll Setup -> Asset Registration -> Banking & Treasury Setup -> Security & Access Setup -> Testing & Validation -> Management Approval -> Go-Live -> Post Go-Live Monitoring

##### 3.1.1 Phase 1 – Business Approval & Branch Registration

Formally establish the branch within the ERP and obtain all necessary approvals and legal registrations.

###### 1. Branch Approval

- Obtain management approval for branch creation.
- Define business objectives and expected operational scope.
- Allocate implementation budget.

###### 2. Branch Master Creation

Create branch information within ERP:

- Branch Code
- Branch Name
- Branch Type
- Opening Date
- Reporting Branch/Region
- Branch Status

###### 3. Legal Registration

Record:

- Commercial Registration Number
- VAT Registration Number
- License
- Chamber of Commerce Registration
- Industry-specific licenses

#### 4. Location Setup

Register:

- Physical Address
- Country
- State/Province
- City
- Postal Code
- GPS Location

#### 5. Contact Information

Configure:

- Phone Numbers
- Email Addresses
- Branch Manager
- Emergency Contacts

#### Deliverables

- -> Branch approved
- -> Branch registered in ERP
- -> Legal documents uploaded
- -> Branch code generated

### 3.1.2 Phase 2 – Organizational Structure Setup

Define the branch reporting hierarchy and operational structure.

#### 1. Department Setup

Create departments:

- Administration
- Finance
- Sales
- Procurement
- Warehouse
- Operations
- HR
- IT



## 2. Cost Center Setup

Create:

- Branch Cost Centre
- Department Cost Centres
- Project Cost Centers

## 3. Reporting Hierarchy

Configure:

- Branch Manager
- Department Managers
- Supervisors
- Staff Reporting Lines

Deliverables

- -> Organization chart
- -> Cost centers
- -> Approval hierarchy
- -> Reporting structure

### 3.1.3 Phase 3 – Financial & Accounting Configuration

Enable financial transactions and reporting for the new branch.

#### 1. Branch Chart of Accounts Mapping

Assign:

- Assets
- Liabilities
- Income
- Expenses
- Equity

#### 2. Financial Dimensions

Configure:

- Branch
- Department
- Project
- Cost Center



### 3. VAT Configuration

Setup:

- VAT Percentage
- Input VAT Accounts
- Output VAT Accounts
- VAT Reporting Rules

### 4. Opening Balances

Import:

- Cash Balances
- Bank Balances
- Customer Balances
- Supplier Balances
- Inventory Values
- Fixed Assets

### 5. Budget Setup

Configure:

- Annual Budget
- Monthly Budget
- Department Budget

### 6. Financial Periods

Setup:

- Fiscal Year
- Accounting Periods
- Month-End Closing Rules

Deliverables

- -> Branch financial structure
- -> Accounting periods
- -> Opening balances
- -> Budget setup

#### 3.1.4 Phase 4 – Inventory & Warehouse Setup

Establish inventory control and warehouse operations.

## 1. Warehouse Creation

## 2. Bin & Rack Structure

Configure location mapping

## 3. Inventory Parameters

## 4. Item Availability

Deliverables

- -> Warehouses created
- -> Bin locations configured
- -> Inventory controls activated

### 3.1.5 Phase 5 – HR & Payroll Configuration

Prepare employee management and payroll processing.

#### 1. Employee Structure

Configure:

- Employee Categories
- Grades
- Designations
- Departments

#### 2. Leave Policies

#### 3. Payroll Components

Setup:

- Basic Salary
- Housing Allowance
- Transport Allowance
- Overtime
- Bonuses
- Deductions

#### 4. Attendance Devices

Integrate:

- Biometric Devices
- Access Control Systems

## 5. Employee Self-Service

Enable:

- Leave Requests
- Attendance Review
- Payslip Download

Deliverables

- -> Employee structure configured
- -> Payroll setup completed
- -> Attendance integrated

### 3.1.6 4.1.6 Phase 6 – Asset & Facility Registration

Register all company assets assigned to the branch.

#### 1. Fixed Asset Registration

Record:

- Furniture
- Computers
- Vehicles
- Machinery
- Equipment

#### 2. Asset Categories

Create:

- IT Assets
- Office Equipment
- Vehicles
- Plant & Machinery

#### 3. Facility Management

Register:

- Buildings
- Offices
- Warehouses
- Parking Areas

#### 4. Asset Custodian Assignment

Assign assets to:

- Employees
- Departments
- Locations

Deliverables

- Assets registered
- Custodians assigned

### 3.1.7 Phase 7 – Banking & Treasury Setup

Enable cash management and banking transactions.

#### 1. Bank Account Setup

Configure:

- Current Accounts
- Savings Accounts
- Payroll Accounts

#### 2. Bank GL Mapping

Link:

- Bank Accounts
- Cash Accounts
- Clearing Accounts

#### 3. Payment Methods

Setup:

- Bank Transfer
- Cheque
- Cash
- Online Payment

#### 4. Cheque Management

Configure:

- Cheque Books
- Cheque Printing
- PDC Management



## 5. Cash Management

Setup:

### Petty Cash

### Cash Limits

### Cash Custodians

## 6. Bank Reconciliation

Configure:

- Auto Reconciliation
- Statement Import

Deliverables

- Bank accounts configured
- Treasury controls activated
- Payment methods available

## 3.1.8 Phase 8 – Security & User Access Configuration

Protect data and enforce role-based access controls.

### 1. User Creation

Create users for:

- Finance
- HR
- Warehouse
- Sales
- Management

### 2. Role Definition

Examples:

- Branch Manager
- Accountant
- HR Officer
- Storekeeper
- Sales Executive

### 3. Permission Assignment

Configure:

- View
- Create
- Edit
- Approve
- Delete

#### 4. Workflow Authorization

Assign approval rights according to hierarchy.

#### 5. Audit Trail Activation

Track:

- User Logins
- Data Changes
- Transaction Approvals

#### 6. Security Policies

Enable:

- Password Policy
- Session Timeout

Deliverables

- User accounts created
- Security roles assigned
- Audit logging enabled

### 3.1.9 Phase 9 – Testing & Validation

Ensure all business processes function correctly before go-live.

#### 1. Master Data Validation

Verify:

- Customers
- Suppliers
- Employees
- Inventory
- Assets

#### 2. Transaction Testing

Test:



- Sales Orders
- Purchase Orders
- Inventory Transfers
- Payroll Processing
- Journal Entries

### 3. Integration Testing

Verify:

- Banking Integration
- Biometric Integration
- Email Notifications
- Reporting

### 4. User Acceptance Testing (UAT)

Department heads validate:

- Functionality
- Reports
- Approval Workflows

### 5. Issue Resolution

- Log Issues
- Assign Owners
- Retest Corrections

### Deliverables

- UAT signed
- issues resolved
- readiness confirmed

## 3.1.10 Phase 10 – Go-Live Approval

Officially activate the branch in the ERP system.

### 1. Final Data Migration

Import:

- Opening Inventory
- Customer Balances
- Supplier Balances
- Employee Records

- Asset Records

## 2. Go-Live Checklist Verification

Confirm:

- Users trained
- Workflows approved
- Reports validated
- Security verified

## 3. Management Sign-Off

Obtain approvals from:

- Branch Manager
- Finance Manager
- HR Manager
- IT Manager
- Executive Management

## 4. System Activation

- Change branch status to Active
- Enable live transactions
- Enable integrations

## 5. Post Go-Live Support

Monitor:

- Daily Transactions
- User Issues
- Financial Accuracy
- Inventory Accuracy

## Deliverables

- Branch activated
- Users operational
- Transactions live
- Support team assigned